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(APRIL 10, 1996)
(FEDERAL MARITIME COMMISSION)

FEDERAL MARITIME COMMISSION

WASHINGTON, D.C.

April 10, 1996

DOCKET NO. 89-26

THE GOVERNMENT OF THE TERRITORY OF GUAM, ET AL.

v.

**SEA-LAND SERVICE, INC. AND
AMERICAN PRESIDENT LINES, LTD.**

**RENEWED MOTION FOR DECLASSIFICATION OF
INFORMATION CLASSIFIED AS CONFIDENTIAL
UNDER THE PROTECTIVE ORDER DENIED**

On March 22, 1996, the Government of the Territory of Guam, et al. ("GovGuam") renewed their request to declassify that portion of business information in the record of this proceeding which is still marked confidential under an umbrella protective order dated April 20, 1990, as modified by the parties' March 31, 1994 Stipulations Regarding the Declassification of the Evidentiary Record in FMC Docket No. 89-26 (hereinafter "U.P.O.").

Respondents American President Lines, Ltd. ("APL") and Sea-Land Service, Inc. ("Sea-Land") filed individual replies to the instant motion.

On August 31, 1994, this office denied a prior GovGuam declassification motion for the remaining classified information. GovGuam claims that "significant intervening events" warrant lifting the confidential label prior to service of the Initial Decision (now scheduled for June 3, 1996) because (1) the sought information is needed in a Department of Transportation ("DOT") investigation mandated by Congress; (2) the confidential data has been released for "private reasons"; and (3) there is no identified competitor who could use the data to the competitive disadvantage of respondents.

(1) *The DOT Study*

The ICC Termination Act of 1995, Pub. L. No. 104-88, 109 Stat. 858 (Dec. 29, 1995), requires DOT to provide Congress within six months a study that analyzes each of the noncontiguous domestic trades including seven specific issues. In DOT Docket No. OST-96-1066, DOT began "a study of competition in the noncontiguous domestic maritime trades to . . . Guam" and seeks public comments by April 15, 1996, as to the "composition of traffic, the extent of entry and exit, rates charged, the importance of liner service to the economic well-being of local economies and other institutional or economic factor[s] that could influence competition in these markets." GovGuam contends that there is no greater or more complete source of information regarding these critical aspects of the Guam trade than that which is in this proceeding.

APL replies that most of the confidential data in the record originated in confidential APL filings with the Maritime Administration ("MarAd"). (MarAd has a lead role in the DOT study.) GovGuam originally requested the data from DOT under the Freedom of Information Act ("FOIA") and was refused on confidentiality grounds. GovGuam obtained the data in discovery here subject to the U.P.O. APL contends that GovGuam seeks to lift the U.P.O. so that it can give DOT data (1) which DOT already has and (2) which DOT refused to give to GovGuam under the FOIA.

APL claims that GovGuam is the best source for the information sought by DOT since it knows better than anyone "the composition of traffic" to and from Guam because its instrumentality, the Port of Guam, is the only entity with access to comprehensive data on movements through the port, and is the best source for information as to "the importance of liner service" to the local economy or "the extent of entry and exit" in the trade. APL notes that the "rates charged" are matters of public record.

APL also points out that the written direct testimony plus the transcript of the San Francisco hearing have been subject to declassification procedures by the parties and except for carrier cost and financial data the majority of the remainder of such testimony has been declassified and public versions of all direct phase testimony have been filed and are readily available to anyone.

APL doubts that the prior year G.O. 11 analyses that remain confidential would be of any value to the new DOT study.

Sea-Land replies stating that the motion should be dismissed; that GovGuam does not assert that the DOT study involves a historical study rather than one of existing market

conditions; that GovGuam has not established that DOT seeks from GovGuam the information which GovGuam now desires to be declassified; that Sea-Land has received a specific, detailed and extensive request for information from DOT with regard to Sea-Land's operations in the noncontiguous trades to which Sea-Land is in the process of responding.

(2) The Release of Certain Classified Data to Matson Navigation Company ("Matson")

GovGuam contends that the second major intervening event is the June 12, 1995, Order providing for dissemination of classified financial information to Matson prior to its purchase of the Guam maritime trade operations of APL. GovGuam contends that release of APL's old data cannot possibly lead to any harm to the Guam maritime trade operations of APL or have any predictive value with respect to Matson's current operations and that respondents cannot show any specific, concrete business harm to them from release of the sought data.

APL replies that Matson was not and is not APL's competitor; that the June 12, 1995, Order granting APL's motion to modify the protective order and the June 20, 1995, approval of stipulation related to the June 12, 1995, Order made APL's post-hearing briefs available to Matson attorneys (no more than two of whom could be inside counsel) subject to the restriction that the Matson attorneys were required to agree in writing that they would not disclose the information to others at Matson and that they would promptly return the material (without copying any portion of it), and that Sea-Land's confidential data was redacted (with an opportunity for Sea-Land's counsel to verify that the redactions were

properly accomplished). Sea-Land emphasizes that it objected to APL's motion to modify the protective order and that as a result no Sea-Land data was released to Matson.

Discussion and Conclusions

The August 31, 1994, Ruling stated at pages 25-26: "All remaining business information and data marked confidential pursuant to the terms of the protective order entered April 20, 1990, will remain confidential, unless otherwise agreed to by the parties, pending service of the Initial Decision."

GovGuam's "significant intervening events"--the DOT study and the Matson exception--do not afford sufficient good reason to warrant grant of its motion. GovGuam has made no convincing showing that the confidential information in this proceeding is an appropriate source of current information responsive to the issues in the DOT study, in view of all the circumstances.

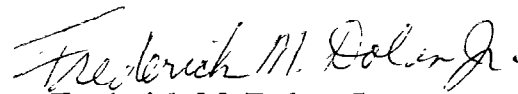
Nor has GovGuam shown that the temporary lifting of the U.P.O. subject to stringent restrictions for Matson attorneys is a compelling precedent for the relief sought here.

In regard to a competitor who could use the sought data to the competitive disadvantage of respondents the August 31, 1994, Ruling also found that release of respondents APL's and Sea-Land's data to "their competitors in the foreign trades would clearly disadvantage APL and Sea-Land and discriminate against them in competing with foreign-flag carriers in the foreign trades whose financial and other data remain private. *Id.* at 19 and 20. "In this proceeding and at this juncture it is clear that serious harm would result to respondents from premature disclosure of the sought information." *Id.* at 22.

No sufficient reason has been presented by GovGuam warranting departure from these conclusions and the other findings in the August 31, 1994, Ruling. Upon consideration of all the arguments urged by GovGuam it is concluded that the motion must be denied.

IT IS ORDERED:

Complainants' Motion, filed March 22, 1996, for Declassification of Information Classified as Confidential Under the U.P.O. is denied.


Frederick M. Dolan, Jr.
Administrative Law Judge